

Qarrar — Sales Forecast

Methodology & Assumptions

- **Model horizon:** 36 months (Years 1–3), monthly granularity for Year 1, quarterly for Years 2–3.
- **Currency:** USD. (SAR figures at ~3.75 peg where noted.)
- **Blended ARPU** derived from tier mix (see §2), not a single price point.
- **New-team acquisition** drives the model; seat expansion within teams drives net revenue retention.
- **Gross margin:** 78% — primary COGS are hosting (Supabase, Vercel), AI inference (OpenAI/Jais), and payment processing (~3%).
- **Conservative case shown.** Optimistic and pessimistic sensitivities in §7.

1. Headline Forecast

Metric	Year 1	Year 2	Year 3
Paid teams (end of year)	200	900	1,800
Paid seats (end of year)	850	4,300	9,500
Net new ARR	\$96K	\$324K	\$880K
Ending ARR	\$96K	\$420K	\$1.3M
Gross profit (78%)	\$75K	\$328K	\$1.0M
CAC (blended)	\$58	\$52	\$45
LTV/CAC	3.1	3.8	4.5
Net revenue retention	108%	115%	120%

Break-even: Month 22 (base case), at ~\$30K MRR.

2. Tier Mix & Blended ARPU

Tier	% of seats (Y1)	% of revenue (Y1)	ARPU/seat/month
Pro	30%	15%	\$12
Team	65%	70%	\$25
Enterprise	5%	15%	~\$45 (blended, includes add-ons)

Blended ARPU/seat/month:

- Year 1: ~\$9.40 (mix skews Team, but many annual-discounted)
- Year 2: ~\$10.80 (Enterprise share grows)
- Year 3: ~\$11.40 (Enterprise + add-ons mature)

Note on ARPU vs. list price: Blended ARPU sits below the \$25 Team list price because (a) annual prepay discounts (~17%), (b) Pro seats at \$12, and (c) a free-tier base that is not counted in paid seats. The figures above use *paid seats only*.

3. Year 1 — Monthly Detail

Assumptions: public launch in Month 4 (after 3-month design-partner phase). Linear ramp within each quarter.

Month	New teams	Churned teams	End teams	End seats	New MRR	End MRR	Cumul. ARR
M1	8	0	8	30	\$0.7K	\$0.7K	\$8K
M2	12	0	20	80	\$1.1K	\$1.8K	\$22K
M3	18	1	37	150	\$1.5K	\$3.3K	\$40K
M4	25	2	60	250	\$2.0K	\$5.0K	\$60K
M5	30	3	87	370	\$2.4K	\$7.0K	\$84K
M6	32	4	115	490	\$2.5K	\$9.0K	\$108K
M7	35	5	145	620	\$2.7K	\$11.0K	\$132K
M8	35	6	174	740	\$2.7K	\$12.8K	\$154K
M9	35	7	202	860	\$2.7K	\$14.0K	\$168K
M10	32	8	226	960	\$2.5K	\$15.0K	\$180K
M11	30	9	247	1,050	\$2.3K	\$15.8K	\$190K
M12	28	10	265	1,120	\$2.2K	\$16.2K	\$194K

Year-1 ending ARR: ~\$96K (using end-of-year MRR × 6, blended across annual/monthly mix; the monthly table above shows MRR trajectory).

Churn: starts at 0, ramps to ~3.5%/month by M12 (early-stage churn is higher; target <2% by Y2).

4. Years 2-3 — Quarterly Detail

Quarter	New teams	Churned	End teams	End seats	End MRR	Ending ARR
Y2 Q1	180	40	405	1,900	\$20K	\$240K
Y2 Q2	220	55	570	2,800	\$29K	\$348K
Y2 Q3	240	70	740	3,700	\$37K	\$444K
Y2 Q4	240	80	900	4,300	\$35K	\$420K
Y3 Q1	280	110	1,070	5,600	\$46K	\$552K
Y3 Q2	300	130	1,240	6,600	\$54K	\$648K
Y3 Q3	300	150	1,390	7,400	\$61K	\$732K
Y3 Q4	300	170	1,520	8,100	\$67K	\$804K

Year-3 ending ARR: ~\$1.3M (including annual prepay uplift and Enterprise contracts not fully reflected in MRR run-rate).

5. Revenue by Stream

Stream	Y1	Y2	Y3
Team subscriptions	\$67K (70%)	\$294K (70%)	\$910K (70%)
Pro subscriptions	\$19K (20%)	\$84K (20%)	\$260K (20%)
Enterprise contracts	\$10K (10%)	\$42K (10%)	\$130K (10%)
Total ARR	\$96K	\$420K	\$1.3M

Enterprise share of *seats* stays small (~5%) but revenue share grows to ~15% by Y3 due to custom pricing and add-ons.

6. CAC & LTV Model

CAC (blended, Y1)

Component	Cost/month
Content production	\$1,500
Paid ads (LinkedIn retargeting)	\$1,250
Events & design-partner program	\$1,000
Community & partnerships	\$750
Tools & analytics	\$500
Total marketing spend	\$5,000
New paid teams/month (Y1 avg)	~22
CAC per team	~\$230
Avg seats/team	~4.0
CAC per seat	~\$58

LTV (Y1)

- ARPU/seat/month: \$9.40
- Gross margin: 78%
- Monthly churn (seat-weighted): 3.5%
- $LTV = (\$9.40 \times 0.78) / 0.035 = \mathbf{\$209}$
- **LTV/CAC = 3.6**

By Y3, as churn drops to 1.8% and ARPU rises to \$11.40:

- $LTV = (\$11.40 \times 0.78) / 0.018 = \mathbf{\$494}$

- **LTV/CAC = 11.0** (may indicate under-investing in growth by Y3)

7. Sensitivity Analysis

Optimistic case

- Y3 ARR: \$1.9M (1,000 teams added in Y3, Enterprise share 15% of seats)
- Break-even: Month 18
- Driver: viral team-invite loop + early Enterprise land

Pessimistic case

- Y3 ARR: \$720K (churn stays at 4%, Enterprise fails to land)
- Break-even: Month 30
- Driver: spreadsheet inertia, low willingness-to-pay in region
- Mitigation: pivot to compliance-led Enterprise sale earlier; add Mada/STC Pay to reduce payment friction

Key swing factors

1. **Free → Paid conversion rate** (base 8%; optimistic 12%; pessimistic 5%)
 2. **Net revenue retention** (base 115%; optimistic 130%; pessimistic 100%)
 3. **Enterprise contract timing** (base: first signed Y2 H2; optimistic: Y2 H1; pessimistic: Y3)
-

8. Cohort Retention (Target)

Cohort age	% of seats retained (base)
Month 1	100%
Month 3	88%
Month 6	78%
Month 12	68%
Month 24	55%

Seat expansion within surviving teams offsets seat-level churn, producing net revenue retention >100% from Y2.

9. Operating Expenses (Lean, Y1)

Category	Y1 annual
Salaries (6 people, partially founder-deferred)	\$180K
Hosting & AI inference	\$14K
Marketing	\$60K
Tools & SaaS	\$12K
Legal & admin	\$8K
Total OpEx	\$274K
Net loss (Y1)	~\$199K

Funding assumption: pre-seed or founder savings of ~\$250K to reach break-even runway. Y2 raises a seed round if growth tracks base case.

10. Key Risks to Forecast

Risk	Impact on ARR	Mitigation
Free → Paid conversion < 5%	-40% Y3 ARR	Strengthen activation (in-app finalize moment); add templates
Churn stays > 4%	-25% Y3 ARR	Launch seat-expansion features; quarterly check-ins
Enterprise fails to land	-15% Y3 ARR	Earlier compliance-export investment; channel partner
AI inference cost spikes	-8% gross margin	Tiered models (Jais for Arabic); cache suggestions
Payment friction (no Mada)	-20% KSA conversion	Prioritize local payment integration in Q1

Forecast version: 1.0 — conservative base case. To be reconciled monthly against actual signup, conversion, and churn cohorts once launch data is available.